

Financial Accounting PS2

Show equations, substitutions, intermediate reasoning, and a final labeled answer.

1. [8 pts] Record: receive \$399 cash for a service already performed; purchase \$508 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.

2. [7 pts] A \$739 prepaid service contract covers 6 months. After one month, give the adjusting entry and remaining liability.

3. [5 pts] At period end, assets are \$2177 and liabilities are \$564. Compute equity and explain the balance-sheet relationship.

4. [6 pts] Current assets are \$1233 and current liabilities are \$1096. Compute the current ratio and interpret values above 1.

5. [5 pts] A customer pays before delivery. Explain when revenue is recognized and name the liability recorded before performance.

6. [8 pts] Record: receive \$755 cash for a service already performed; purchase \$281 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.

7. [7 pts] A \$914 prepaid service contract covers 6 months. After one month, give the adjusting entry and

remaining liability.

8. [5 pts] At period end, assets are \$1289 and liabilities are \$473. Compute equity and explain the balance-sheet relationship.
